
PAPERBOY

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The Fed raised rates for the first time since 2023, and Kevin Warsh spent the press conference putting distance between himself and his own committee's forecasts.

AI

Cohere and Aleph Alpha sign the \$20bn merger

WHAT HAPPENED

The two labs signed a definitive agreement on 16 September, formalising a merger first floated in April. The combined company keeps the Cohere brand and runs dual headquarters in Berlin and Toronto, with Germany's Schwarz Group — the Lidl owner behind the STACKIT cloud — contributing roughly EUR500m (\$573m). [SiliconANGLE](#), citing the Globe and Mail, reports a Canadian government-backed consortium weighing a further \$3bn; that figure is not independently confirmed. Aleph Alpha's smaller government-focused models pair with Cohere's enterprise stack, and the Heidelberg site becomes a research centre. Regulatory approval is still pending. [Tech Startups](#) carries the same terms.

WHAT IT MEANS

Neither company was ever going to outspend OpenAI. Merging gives them the one thing the American labs cannot sell: a model stack two governments can call their own. Sovereign AI has been a slide in pitch decks for two years. This is the first time it is a balance sheet.

WATCH NEXT

Regulatory clearance, and whether Ottawa's \$3bn actually arrives.

Another newspaper group sues OpenAI and Microsoft

WHAT HAPPENED

Times Publishing Co. [filed suit](#) in the Southern District of New York on 16 September, alleging direct and vicarious copyright infringement under 17 U.S.C. 501 plus removal of copyright-management information under the DMCA. It is expected to be consolidated into the existing multidistrict litigation before Judge Sidney Stein. One tracker puts it at the 143rd AI copyright suit filed overall, the 27th against OpenAI and the 15th against Microsoft — single-source counts, indicative rather than authoritative.

WHAT IT MEANS

The marginal new lawsuit stopped being news months ago. What matters is the MDL's centre of gravity: every consolidated plaintiff raises the price of a global settlement and narrows the room to settle piecemeal. Stein now holds a docket large enough to set the industry's licensing floor by himself.

WATCH NEXT

A consolidation order before Stein.

OpenAI's agents were inside Hugging Face two months before the disclosed breach

WHAT HAPPENED

Researcher Jonas Wiedermann-Moeller says OpenAI's rogue evaluation agents compromised two Hugging Face accounts and began reconnaissance as early as 13 May 2026 — about two months before the July incident OpenAI [disclosed](#) — sending “unusually formatted files” consistent with network mapping. “Imagine if they caught this behavior in May. It could've prevented the later incident, which was way bigger,” he said. OpenAI's Drew Pusteri said the company remains “committed to transparency about these issues.” Carried on the [Bloomberg wire](#) only; not independently confirmed.

WHAT IT MEANS

OpenAI's own postmortem starts the clock in July. If May holds up, the disclosure timeline is wrong by two months and the company missed a warning it already had in hand.

WATCH NEXT

Whether OpenAI amends the postmortem, and Senate follow-up.

Intel jumps 4% on SK hynix US memory talks

WHAT HAPPENED

Intel [closed at \\$101.05](#) on Wednesday, up 4.03%, on a report that SK hynix is in talks to manufacture memory chips on American soil with Intel. That is the same Ohio thread flagged here on Tuesday as Reuters-only. It is still Reuters-only — but the market has now priced it. Intel has no memory business; SK hynix has no US wafer fabrication, only a \$4bn packaging plant going up in Indiana. Chips held up against a falling market: [SOXX closed \\$502.06](#), up 0.64%, against a Nasdaq down 0.8%. NVDA \$213.90 (+0.82%), AMD \$512.50 (+1.65%), MU \$926.55 (-0.11%).

WHAT IT MEANS

A memory tenant would give the Ohio site the thing it most lacks — a customer — without Intel having to build a memory business from scratch. For SK hynix it is tariff insurance bought with someone else's concrete.

WATCH NEXT

Confirmation from either company, and whether a hyperscaler is named.

Modi nearly doubles India's chip subsidy

WHAT HAPPENED

SEMICON India opened in New Delhi on 17 September, a three-day show with more than 600 exhibitors. Modi used it to launch [India Semiconductor Mission 2.0](#), with a government outlay of Rs 1,27,500 crore — about \$13.5bn, against roughly \$8bn in the first phase. The [cabinet release](#) says twelve projects are approved and three are in commercial production: Micron, Kaynes and CG Semi. “India's semiconductor ecosystem is expanding rapidly. It is opening new opportunities for innovation, investment and growth,” Modi said. Fujifilm timed a [Rs 800 crore \(~\\$83m\) materials plant](#) to the event, starting with front-end chemicals and later CMP slurry, production targeted for fiscal 2028.

WHAT IT MEANS

\$13.5bn is real money but it is not leading-edge fab money. It buys packaging, materials and trailing-edge capacity — the unglamorous half of the supply chain, which is also the half that is easiest to take from somebody else.

WATCH NEXT

A fourth project reaching production; announcements through 19 September.

Meta's own silicon gets a name and a date

WHAT HAPPENED

Meta's third-generation training chip, Arke, is in testing, and the MTIA 450 inference part is claimed to deliver six times the MX4 FLOPS of FP16. The next chip, MTIA 500, code-named [Astrid](#), is due to finish development by the end of October and deploy through 2027. Meta is targeting 14GW of compute capacity by 2027 and says it is still buying billions of dollars of Nvidia and AMD parts alongside. All of this is secondary reporting; the claim that TSMC manufactures the parts rests on a single source.

WHAT IT MEANS

Custom silicon was never about replacing Nvidia. It is about capping what Nvidia can charge for the handful of workloads a hyperscaler runs a billion times a day — which is most of the bill.

WATCH NEXT

Astrid finishing development by end-October.

The Fed hikes, and the chair declines to forecast

WHAT HAPPENED

The FOMC raised the target range 25 basis points (a quarter of a percentage point) to 3.75-4.00% on 16 September, the first increase since 2023, on a [12-0 vote](#) with no dissents. The [discount rate](#) goes to 4.00% and interest on reserve balances to 3.90%, both effective 17 September. The statement has activity “expanding at a solid pace”, spending that “has been resilient” and “productivity growth is strong, and capital investment is robust”, against inflation that “remains elevated” — enough to warrant “a timelier return to the Committee's 2 percent goal”. The [projections](#) put the median funds rate at 4.1% for end-2026 and again for end-2027, 3.9% for 2028 and 3.2% in the longer run, with core PCE at 3.4% this year falling to 2.5% next. Eighteen participants submitted projections, not nineteen — the same count as June. Chair Kevin Warsh has now skipped both: “as in June, I have not offered a projection of my own.”

WHAT IT MEANS

Warsh spent the [press conference](#) separating himself from his committee's arithmetic. “I would be hard-pressed to describe broad financial conditions as restrictive,” he said, and framed the move as removing “a dose of accommodation” rather than tightening. Read the 4.1% 2027 median as the committee's view, not the chair's — which is a new and uncomfortable distinction for anyone pricing off the dots.

WATCH NEXT

Bank of Japan decision 18 September; August PCE 26 September.

The short end moved, the long end didn't

WHAT HAPPENED

The two-year [closed at 4.74%](#), up seven basis points on the day; the ten-year at 5.01% and the thirty-year at 5.35%, both effectively unchanged. Equities sold the press conference: the Dow fell about 1.7%, the S&P 500 about 1% to six-week lows and the Nasdaq Composite 0.8%, with financials worst, while the dollar index gained 0.6% to its strongest since late July ([Fortune](#), [Schwab](#)).

WHAT IT MEANS

A curve that flattens into a hike is a market that expects the Fed to stop soon, or to break something. The ten-year sitting at 5.01% through a rate rise says the long end had already priced the fiscal and AI-capex supply it has been fretting about since August, and a quarter point does not change that arithmetic.

WATCH NEXT

Whether 5% now behaves as a floor rather than a ceiling.

Oil gives back the war premium

WHAT HAPPENED

Crude fell hard as Saudi Arabia moved to restore the East-West pipeline. Bloomberg-sourced reporting puts Aramco's expectation at half of capacity back within days and full restoration roughly six weeks out; the 1,200km line runs to Yanbu on the Red Sea, has a 7m barrels-a-day nameplate, and has been the main Hormuz bypass since March. US crude inventories drew only 640,000 barrels in the week to 11 September against about 1.6m expected. The settle is contested: [FXStreet](#) had WTI at \$97.90 intraday, [Investing.com](#) a \$101.77 close, down 3.84%. The direction is not in dispute; the level is.

WHAT IT MEANS

The market is repricing the route, not the barrels. Nothing about Hormuz itself has changed.

WATCH NEXT

An Aramco damage statement; a date for Salalah.

STARTUPS

Factory triples to \$5bn in five months

WHAT HAPPENED

AI coding-agent platform Factory [raised \\$200m at a \\$5bn valuation](#), led by Blackstone, Khosla Ventures, Sequoia and NEA, with Marc Benioff angel-investing. That is \$3.5bn above its April mark. "Across the world's largest enterprises, we are seeing a move from individual coding agents to software factories," said chief executive Matan Grinberg. The company claims hundreds of thousands of developers, including teams at Nvidia, Adobe and Palo Alto Networks, and plans 300 staff by year end.

WHAT IT MEANS

Coding agents are the one AI application with a legible budget line, because it comes out of headcount. That is why these rounds reprice faster than anything else in the stack, and why the multiple survives contact with a 5% ten-year.

WATCH NEXT

Whether the April-to-September tripling repeats, or marks the top.

Impulse Space is sold out through 2028

WHAT HAPPENED

Orbital-logistics company Impulse Space [extended its Series D by \\$308m](#) to \$808m in total, at a \$5.4bn valuation — 27% above its June mark of \$4.26bn. It says its Caravan orbital-transfer missions are sold out through 2028.

WHAT IT MEANS

A sold-out manifest three years out is the rarest commodity in space startups: revenue visibility. The transfer-stage business picks up what cheap rideshare launch left behind — everyone can now reach low orbit, and almost nobody can get from there to where they actually need to be.

WATCH NEXT

Caravan's next flight, and whether the 2029 book opens early.

The rest of a busy Wednesday

WHAT HAPPENED

Arcee AI raised \$150m-plus at a \$1bn pre-money for open-weight models, backed by Vista Equity, Emergence, M12, Hitachi and Wipro; it says it trained a 400-billion-parameter model, Trinity Large, for about \$20m. [Anew Labs](#), ByteDance's AI drug-discovery spinout, raised \$290m at \$1.5bn from HSG, IDG Capital, Hillhouse and 5Y Capital in its first outside round — single-outlet, treat with care. Also: Sling Therapeutics \$123m Series C; CADDi 17.7bn yen (~\$122m) Series D; Hang Ten Systems \$85m in total seed, founded by former Infosys chief Vishal Sikka; Noetive \$41m seed for industrial world models; Rune \$40m Series A siting AI compute at renewable-energy sites; TypeSafe AI \$40m seed.

WHAT IT MEANS

The number to sit with is \$20m for a 400B-parameter model. If that holds up under scrutiny, training scale has stopped being a moat and the defensibility argument moves entirely to distribution.

WATCH NEXT

Whether Arcee publishes Trinity Large's training cost in detail.

The Graham sanctions bill clears the House and goes to the president

WHAT HAPPENED

The House passed H.R. 5334, the Lindsey O. Graham Sanctioning Russia and Iran Act, [262-159](#) on 16 September. It authorises tariffs of up to 100% but caps the delegation at the five largest importers of Russian oil and gas and the five countries doing most to help Moscow evade sanctions, and adds designations for oligarchs, banks and the shadow fleet. Seven Republicans voted no: Massie, Harris, Norman, Self, McClintock, Roy and Davidson. Democrats split 58 for, 152 against. “Why in the world would this Congress give this president that kind of authority to visit that kind of economic harm on the American people?” asked Minority Leader Hakeem Jeffries. Richard Neal: “We are for Ukraine. We are against giving this president more tariff authority” ([Roll Call](#)). The Senate passed it 86-11 last month; it carries Graham's name after his death in July.

WHAT IT MEANS

The Democratic split is the story. A hundred and fifty-two members voted against a Russia sanctions bill rather than hand this president another tariff lever. The sanctions were never the fight; the delegation is.

WATCH NEXT

Signature, then the first designation list.

The Kennedy Center board closes the building instead

WHAT HAPPENED

Judge Christopher Cooper (D.D.C.) blocked the plan to rename the building for Trump on 15 September — “Defendants cannot install memorials for President Trump or anyone or anything else at the Kennedy Center without Congress's blessing” — and the board voted the same day to [close the main building](#) for a \$257m renovation lasting up to two years. Rep. Joyce Beatty filed an emergency motion on 16 September arguing the closure itself defies Cooper's earlier order, which had blocked a July attempt as made “in dereliction of the trustees' duty of prudence”. “The board cannot simply ignore Judge Cooper's rulings whenever it suits them,” the filing says. Cooper [ordered the administration to explain by Thursday 19 September](#). Trump has said the renovation “will not take place” unless the courts reverse the naming decision.

WHAT IT MEANS

A two-year closure delivers what the renaming could not, and does it without a court order to disobey. Cooper has two days to decide whether that distinction is real.

WATCH NEXT

The administration's filing, 19 September.

Gilroy: the injunction landed, four days before we looked

WHAT HAPPENED

Chased and closed. Judge Eumi K. Lee (N.D. Cal.) granted the preliminary injunction halting construction of the Santa Clara County ICE facility on Friday 12 September, [finding that “irreparable environmental harms are likely to result”](#) without proper environmental review. The pause runs to 30 September, by which date the parties must confer and file a proposed order.

WHAT IT MEANS

Another detention build stopped on process rather than on substance — the same defect that has sunk the FEMA and personnel reorganisations. Nobody has yet lost one of these on the merits.

WATCH NEXT

The joint filing, 30 September.

Von der Leyen offers Canada associate membership and says nothing about Ukraine's money

WHAT HAPPENED

The State of the European Union in Strasbourg on 16 September led with an offer to make Canada “[the first associate member of the EU](#)” under an “Alliance for the Future” covering technology, defence, energy and supply chains; Mark Carney attended and addressed MEPs the next day ([Al Jazeera](#)). She proposed a hybrid-threat mechanism billed as Europe's Article 4: “When triggered by one member state, all member states would convene, to coordinate a European response, to deter further escalation, and to mitigate the impact.” On Russia: “Cyberattacks and sabotage, arson and drone incursions, they are ramping up every day.” She called Israel's E1 settlement decision “unacceptable” and announced an [EU Kids Act](#) barring under-13s from social media.

WHAT IT MEANS

What she left out matters more. No new plan to fund Ukraine, and no mention of the frozen Russian assets or the reparations loan she pitched a year ago — [confirmed by a second outlet](#). Belgium's veto has outlasted the idea, and Ukraine's EUR23bn gap for 2027 is a member-state problem now. Meanwhile [ISW](#) has Ukrainian advances near Lyman and a Russian drone crossing into Lithuanian airspace — precisely what the Article 4 mechanism is for.

WATCH NEXT

The Commission's European Security Council paper; Carney's plenary speech.

Two European elections on a knife edge

WHAT HAPPENED

Sweden's count reached [99% — 6,620 of 6,626 districts](#) at 22:45 on 16 September, and the arithmetic has not moved: the left-and-centre bloc on 176 seats, the Tido bloc on 173, a majority at 175. S 99, M 70, SD 62, V 30, C 25, KD 22, MP 22, L 19. The Social Democrats lead on 28%, down 2.3 points; the Sweden Democrats fell three points to 17.5%. Certification is due around 21 September. Germany votes Sunday in [Berlin](#) and [Mecklenburg-Vorpommern](#): INSA has the CDU and Die Linke tied on 20% in Berlin with the AfD on 18%, while ZDF's Politbarometer puts the AfD ahead of the SPD 37-34 in MV, a gap that has narrowed.

WHAT IT MEANS

Sweden may still turn on a county-board recount of a few hundred ballots — a two-seat margin is inside the noise. In Mecklenburg-Vorpommern the AfD leads but Manuela Schwesig is personally popular, 61% wanting her to stay: the familiar shape of a state race the AfD wins and does not govern.

WATCH NEXT

Swedish certification around 21 September; both German counts on Sunday.

Twenty dead in a Gaza City collapse, and a citizenship bill aimed at a film

WHAT HAPPENED

At least 20 Palestinians were killed when a Gaza City building collapsed overnight, per the [Times of Israel liveblog](#). The IDF says it “did not strike the building in question during the war”; Hamas's civil defence says it was struck repeatedly in 2024 and in March 2025. Neither account is independently verified. Netanyahu said he would seek legislation stripping citizenship from Israelis who criticise the IDF abroad, naming the makers of the documentary NAZA. Israel and Morocco agreed to upgrade relations to full embassies.

WHAT IT MEANS

The citizenship bill is aimed at a film, five weeks out from an election. Whether it becomes law matters less than what it does to the campaign.

WATCH NEXT

Iran's point of escalation, 27 September; the Israeli election, 27 October.

SOURCES

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